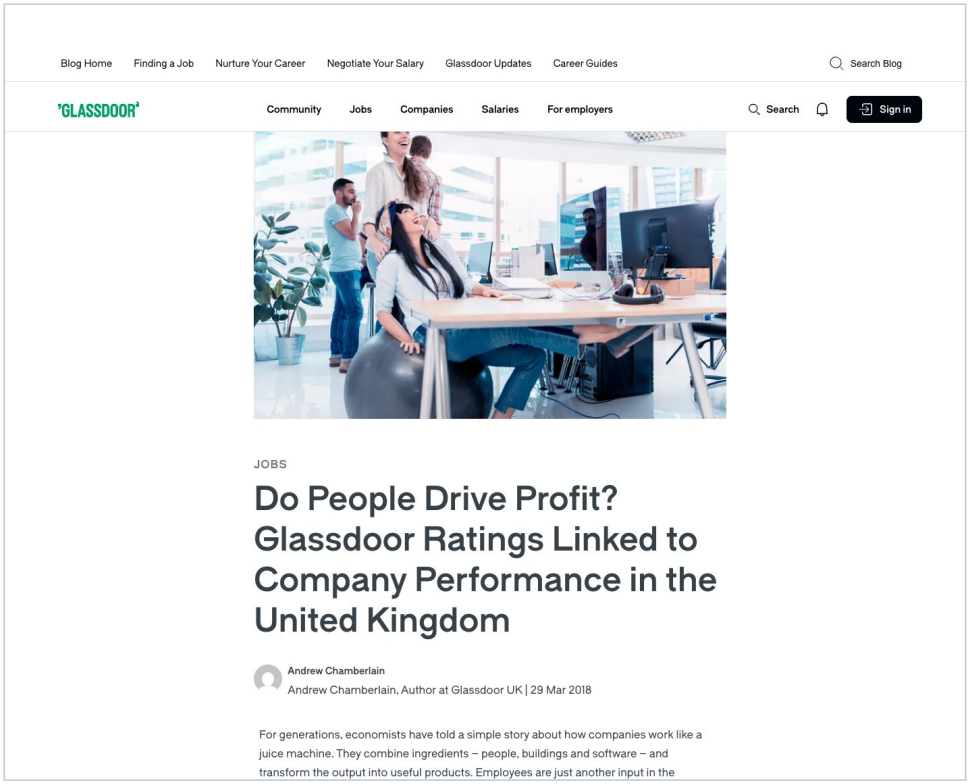
Glassdoor UK blog

«Do People Drive Profit? Glassdoor Ratings Linked to Company Performance in the United Kingdom»

29 March 2018 · English · Named as co-author of the study.

https://www.glassdoor.co.uk/blog/people-drive-profit-glassdoor-ratings-linked-company-performance-united-kingdom/

Research. Symitsi, E., Stamolampros, P., Daskalakis, G. and Korfiatis, N. (2018). Employee Satisfaction and Corporate Performance in the UK. Study commissioned by Glassdoor, presented at Glassdoor's Best Places to Work, London, 29 March 2018.



metaphor, when the health and happiness of the individual plants are tended to, much like every employee, your product and yield can improve. Whether it's employees in a tech company, or tomato plants in a backyard garden, tending to them can help build a great company culture that delivers on financial performance.

There's a new study out this week that supports the notion employees are key assets of a firm. The study, **"Employee Satisfaction and Corporate Performance in the UK"**, from

Efthymia Symitsi, Panagiotis Stamolampros, George Daskalakis, and Nikolaos Korfiatis at the University of East Anglia's Norwich Business School examines the link between employee satisfaction on Glassdoor and real-world financial performance for companies in the United Kingdom. **Happy Employees Drive Business Performance** The results are striking. The authors show a strong link between a satisfied workforce – in the form of higher Glassdoor company ratings – and the financial performance of UK companies in the sample. Even after controlling for many other factors including industry, sales growth, company size, whether the company is private or public, and more – company ratings on Glassdoor still had a statistically significant and positive link to company profitability. On average, the study finds having a 1-star higher rating on Glassdoor predicts about a 1 percent higher annual return on company assets – a statistically significant boost. According to the authors, "firms rated highly by their current employees in terms of satisfaction [on Glassdoor] achieve superior profitability compared to those rated poorly." It's information that can be useful to companies and investors as this positive association suggests that, "online employee reviews can be used to forecast the financial results of UK firms." **Beating the Stock Market** The study also looked at stock returns for companies with top Glassdoor ratings in recent years. The researchers used several rigorous methods to measure whether companies with more satisfied employees earned an extra stock market return – known as "alpha" in the financial world – and found an annual alpha of roughly 16 percent on average for an equally-weighted stock portfolio after accounting for other factors like company size, momentum, and riskiness of the company's stock. This shows that investors in the market don't fully account for how satisfied employees can improve business outcomes when they value stocks. "[This finding] corroborates the link between employee satisfaction and corporate performance in the UK and also suggests that intangibles are not fully priced in the UK market," the authors noted. **Perform Well by**